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Say's (at Least) Eight Laws, or What Say and James Mill May Really Have Meant

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I. The Say's Law Discussion as a Complex of Ideas

Revisionism usually supplies whatever excitement there is to be found in writings on *dogmengeschichte*. Here, achievement often consists in showing that a writer had been badly misinterpreted, or that his contribution is far greater than is generally supposed. This paper can, however, pretend to propose no more than a modest revision of our ideas on the early writings on Say's Law. It will be argued that J. B. Say and his contemporary James Mill, who is also sometimes credited with the notion that "supply creates its own demand", really seem to have had in mind a set of ideas rather more complex than that and, moreover, that the main policy implications they drew from their discussion went well beyond the comforting thought that fears of universal glut are baseless.

Certainly, their discussion was not Panglossian in spirit, for one of their main points was the superiority, from the point of view of growth in economic welfare, of investment outlays over idle consumption (either in the form of luxurious living by wealthy individuals or the military and other unproductive outlays of prodigal governments). Moreover, these authors maintained that only production can create real purchasing power, so that an impecunious community is in no position to provide effective demand in abundance. Restriction in output must necessarily limit effective demand and is certainly not a way to promote it, particularly in the long run.

These are ideas, it will be noted, that the modern literature does not reject, at least not with the universality with which it denies the notion that supply creates its own demand. Indeed, they are thoughts that may still be of some pertinence, particularly for development theory and policy. Moreover, for the time in which these authors were writing, these ideas can certainly not be considered a manifestation of conservatism. Rather, they can be interpreted as a reply to the defenders of the landed aristocracy and their consumption patterns, and as support for the expanding spirit of capitalist enterprise that accompanied the young industrial revolution.

Obviously, there is no limit to the extent to which one can subdivide the notions composing Say's discussion of markets or exchanges (*débouchés*), his related remarks on consumption, or the parallel materials in Mill. I will confine myself to those relationships that have played a substantial role in later discussions, particularly in recent literature, and to those observations that seem clearly to have been uppermost in the minds of the authors as indicated by the degree of emphasis devoted to them.

But before getting to that, it is appropriate first to recapitulate the contents of Say's Law, as it is understood nowadays, and as contrasted with the main proposition espoused by Say himself.

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When discussing Say's Law, the literature since Ricardo seems generally to refer to one of two propositions—a strong assertion, which Becker and I have referred to elsewhere as "Say's Identity", and a weaker variant, which we labelled "Say's Equality".

The first of these, the identity, is the assertion that no one ever wants to hold money for any significant amount of time, so that, as a result, every offer (supply) of a quantity of goods automatically constitutes a demand for a bundle of some other items of equal market value. Thus, as in a barter economy, supply must automatically create its own demand and a general over-production of goods and services is logically impossible.

The second, equality, form of the law admits the possibility of (brief) periods of disequilibrium during which the total demand for goods may fall short of the total supply, but maintains that there exist reliable equilibrating forces that must soon bring the two together.

It should be noted that both of these propositions relate to the shorter run—the period relevant for the analysis of economic crises, recessions and unemployment. It is one of my main contentions that many of Say's central propositions are quite distinct either from the equality or the identity and that it is, in fact, not until the second edition of the *Traité* in 1814 that the full structure of either idea is spelled out in the book.

I believe that the related issues that Say *did* stress in his first edition give us some idea of the order of priorities in his mind, and this, as well as the amount of space and emphasis he accorded them, suggests to me that some of the associated propositions may have held even greater significance for him. To help the reader to judge these issues for himself, I have included in this article a translation of the pertinent sections of that book which I believe of interest in themselves, and which are fairly brief and quite easy to follow.

II. On Priority in Formulation of Say's Law

This paper may, incidentally shed some light on a more minor matter—the issue of priority in the formulation of Say's Law.

In the history of ideas, few things are more foolhardy than attribution of the parenthood of some proposition to a particular individual. The ascription is little more than a sporting act that will ultimately serve as a challenge to others, virtually certain in due course to come up with a predecessor who anticipated the idea with more or less exactitude.

As is well known, Say's Law is a notion whose lineage is older than its name suggests. Its roots in the writings of the Physiocrats have been investigated with great care by Spengler (1945). There are clear precursor statements in *The Wealth of Nations* (see Sowell, 1972, pp. 15–17, and Spengler, 1945, pp. 182–184). It has also been suggested that James Mill anticipated Say in the formulation of the principle. While the first edition of the *Traité* appeared in 1803, it has been argued that in 1807 Mill the elder, in his *Commerce Defended*, published something much closer to "Say's Law" as it is now generally understood. Spengler (1945) and Sowell (1972) show that this conclusion probably rests on a superficial reading of Say's first edition. Readers may have been misled because much of the pertinent

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discussion appears much later in the book than the chapter on *débouchés*, the chapter into which most of this material was collected in subsequent editions. Winch (1966, p. 34) disposes of the issue even more effectively. He reminds us, as Sowell did, that Mill was acquainted with the *Traité* when he wrote *Commerce Defended* and in fact cites it there. Moreover, he shows that Mill explicitly credited Say with the idea. I will, however, argue that the issue is a bit more convoluted. While it is true that Mill's version of the discussion did not differ all that much from Say's, I will suggest that neither of them offered an explicit exposition of Say's Law until some time later. Only the second edition of Say's *Traité* in 1814 describes explicitly the logic of Say's Law as we interpret it nowadays.

Let us now turn to the related issues that Say and Mill emphasized in their discussions.

III. Production as the Source of Disposable Income

The focal chapter's title, "Des Débouchés", is often translated as "on markets". However, it should be borne in mind that the term "market" is used as in "making a market", to denote the availability of effective demand, not as an institution (such as a marketplace) that facilitates the process of exchange. Perhaps a better translation of *des débouchés* is "on outlets for goods". I begin with the propositions which are the main subject of the extremely brief chapter on *débouchés* in the first edition of the *Traité*. These can be summarized as:

Say's First Proposition. A community's purchasing *power* (effective demand) is limited by and is equal to its output, because production provides *the means* by which outputs can be purchased. Furthermore,

Say's Second Proposition. Expenditure increases when output rises.

Note that the first proposition deals with purchasing *power*, not with actual purchases. It tells us, as Keynes did, that output is the source of effective demand—that output is purchasing power. But it does *not* say that all of that purchasing power will always be used to buy goods. Rather, these assertions state, in effect, that the marginal propensity to consume and invest is greater than zero and that the average propensity is (generally) not greater than unity. That is, they tell us that people who produce more are in a position to consume more and will generally do so. These points, which most of us would still accept, are made most emphatically in the very brief chapter on *débouchés* in the first edition, which I now present in its entirety:

> Chapter 22 *On Markets*
>
> Every producer produces a quantity of a particular good that considerably exceeds his own consumption. The farmer harvests more grain than is required to feed him and his household; the hatter makes substantially more hats than he produces for his use; the wholesale grocer handles more sugar than he can consume. Each of them needs many other products to live comfortably. The exchanges they carry out of their own products for those of others, constitute what are called the *markets* for those products.
>
> In this operation money serves approximately the same role as the posters and the handbills in a large city which facilitate the intercourse of persons who

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> may want to do business with one another. During the course of the year each producer handles a very large quantity of money, but aside from small balances of little consequence, at the end of the year there ordinarily remains in his hands no more money than he had at the beginning. What matters is what he purchases with that money, that is, the products of others that he has exchanged against his own, a portion of which he has consumed, and a portion saved according to his needs, his saving habits and the state of this wealth.
>
> I trust this shows that it is not the abundance of money but the abundance of other products in general that facilitates sales. This is one of the most important truths of political economy.
>
> Imagine a very industrious individual having everything he needs to produce things: both ability and capital; if he were the only industrious person in a population which, aside from a few coarse foods, does not know how to make anything; what could he do with his products? He will purchase the quantity of rough food necessary to satisfy his needs. But what can he do with the residue? Nothing. But if the outputs of the country begin to multiply and grow more varied, then all of his produce can find a use, that is to say, it can be exchanged for things which he needs or for additional luxuries he can enjoy, or for the accumulation of the stocks that he considers appropriate.
>
> What I have just said about a single industrious individual can be said equally of one hundred thousand. Their nation will offer them as much of a market as it can pay for additional objects; and it can pay for additional objects in proportion to the quantities it produces. Money performs no more than the role of a conduit in this double exchange. When the exchanges have been completed it will be found that one has paid for products with products.
>
> Consequently, when a nation has too large a quantity of one particular type of product, the means of disposing of them is to create goods of another variety. It is when one can no longer produce any exchangeable object that exportation becomes advantageous. That is the case when it serves as a means to purchase products that cannot be furnished domestically, such as fruits from another climate. But the most profitable sales are those that a nation makes to itself; for they can take place only because of the two values produced: that which is sold and that which is purchased. Exportation should therefore be considered only as a supplement to and less advantageous than domestic consumption. [Say, 1803, Vol. I, Book 1, pp. 152–155]

Exactly the same point is emphasized by James Mill:

> No proposition however in political economy seems to be more certain than this which I am going to announce, how paradoxical soever it may at first sight appear; and if it be true, none undoubtedly can be deemed of more importance. The production of commodities creates, and is the one and universal cause which creates a market for the commodities produced. Let us but consider what is meant by a market. Is any thing else understood by it than that something is ready to be exchanged for the commodity which we would dispose of? When goods are carried to market what is wanted is somebody to buy. But to buy, one must have wherewithal to pay. It is obviously therefore the collective means of payment which exist in the whole nation that constitute the entire market of the nation. But wherein consist the collective means of payment of the whole nation? Do they not consist in its annual produce, in the annual revenue of the general mass of its inhabitants? But if a nation's power of purchasing is exactly measured by its annual produce, as it undoubtedly is; the more you increase the annual produce, the more by that very act you extend the national market, the power of purchasing and the actual purchases of the nation. Whatever be the additional quantity of goods therefore which is at any time created in any country, an additional power of purchasing, exactly equivalent, is at the same instant created; so that a nation can never be naturally overstocked either with capital or with commodities; as the very operation of capital makes a vent for its produce. [Mill, 1807, pp. 81–82].

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It is to be noted that both Mill and Say apparently misinterpreted the logic of their own propositions. From the valid assertion that a high income level *permits* a high level of demand, they seem to jump to the conclusion that demand will *necessarily* be high when output is high. This is an issue to which we will return later.

IV. Investment v. Consumption as Stimulants to Wealth

There is a pair of related propositions which may have been even of more importance at least to Say, judging by the space he devoted to them and the vehemence with which he espoused them. Those observations, which deal with the relation between consumption and investment ("unproductive" and "reproductive" expenditures), can be described as:

Say's Third Proposition. A given investment expenditure is a far more effective stimulant to the wealth of an economy than an equal amount of consumption.

This proposition is the main substance of Say's chapter on consumption, whose translation now follows:

Chapter 3. *Is the Wealth of a State Increased by its Consumption?*

Reproductive consumption that ordinarily replaces with greater values those values that it destroys, is not ordinarily referred to as *consumption*, and I myself, when I happen to have used that word without explanation, have meant unproductive consumption, whose only purpose is to satisfy men's needs or to multiply their pleasures. It is only that sort of consumption that is referred to in the title of this chapter.

Many people, seeing that, overall, total production always equals consumption (because it is quite necessary for everything that is consumed to have been produced), imagined that the encouragement of consumption was favourable to production. The *Physiocrats* seized upon this idea and made it one of the fundamental principles of their doctrine. *Consumption is the measure of reproduction* they said;[1] that is, *the more there is consumed the more there is produced.* And since production brings wealth, they concluded that a state enriches itself through its consumption, that saving is in direct conflict with public prosperity, and that the most useful citizen is the one who expends most.[2]

This system is well designed to win the favour of the vulgar and so it has many partisans. The manufacturer and the merchant perceive general prosperity only in the sale of their wares, only in the greatest possible consumption of them. But when one considers this doctrine more attentively one finds that it leads to results quite different.

The consumption of each family can exceed, equal or fall short of its income. The consumption of all families together, that is, that of the nation, can follow the same course. That is, a nation, all things compensated for, can spend more or less than its income or exactly the amount of its income.

In the first of these cases the nation every year causes a dent in its capital; and, as a result, each year decreases its income; first, from the profits that would have corresponded to the capital that was eaten up and, second, from the profits from the industry which this capital would have supported. Far from being the way to stimulate exchanges it is the way to reduce them. Each year production rises to the level of consumption; but it declines along with consumption, to the point where the entire nation with no more capital, no more cultivated land, no more industry, no more population, disappears entirely or pursues a sad and miserable existence. It is the situation into which many parts of Greece and Syria have fallen under Turkish rule.

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If a country or the families that compose it consume no more than their income, since that country does not deplete any part of its capital, it will keep its income constant, and will offer every year the same market for the product of its industry.

Let us also note, in passing, that it is difficult for a nation encouraged to spend its entire income not to over-spend it quickly, and consequently to fall more or less rapidly into the same grievous extremes as those that consume a portion of their capital along with their income. Both individuals and a government that raise their regular expenses exactly to the level of their ordinary income take no account of accidents and unforeseen risks that never fail to take something away from income and to add something to expenses.

As for a nation that does not expend its entire income, and annually augments its capital, that is the one and the only one that provides the greatest annual markets for its product. In effect, each year it experiences growth in the profits from its capital and in the power of its industry and, consequently, in its income; that is to say, its means of consumption either direct or through exchange, in one word, its markets.

The public interest is consequently not served by consumption, but it is served and served prodigiously by saving, and though it seems extraordinary to many persons, not being any the less true as a consequence, the labouring class is served by it more than anyone else. These persons think, perhaps, that the values which the wealthy save out of outlays on their personal pleasures in order to add to their capitals are not consumed. They are consumed; they furnish markets for many producers; but they are consumed reproductively and furnish markets for the useful goods that are capable of engendering still others, instead of being evaporated in frivolous consumption.

I will explain this doctrine through an illustration expressed in terms of the most common of activities.

A wealthy individual who has an income of a hundred thousand francs, and who is in the habit of consuming them totally, decides one day to decrease his outlays. He gives up some of his domestic servants, and is better served, he purchases fewer jewels, and is not criticized quite so much; he gives less splendid dinners and makes better friends. In brief, instead of spending a hundred thousand francs per annum he expends no more than eighty thousand. From the first year on, he thereby adds twenty thousand francs to his productive capital. The hundred thousand francs that constitute his income are always spent in their entirety, but no more than eighty thousand of them are spent unproductively; the remaining twenty thousand are spent in a manner that reproduces them with profit. He lends them to a manufacturer of handkerchiefs whose enterprise was languishing for lack of funds. The class comprising the lackeys, jewellers, and merchants of fine foods do indeed experience a decrease in the demand for their services and their products; but the class that provides to handkerchief makers their clothes, their food, and their raw materials see theirs increase precisely by the same proportion. The encouragement given by reproductive consumption is thus the same as that which would have resulted from the satisfaction of the needs and pleasures of a single person. But it does not cease here.

In effect, there has been *in addition* an increase in income for the wealthy capitalist, and an increase in income for the manufacturer and his workers. On the basis of a very moderate evaluation based on experience,

the capitalist may find his income increased by	1,000 francs
the chief manufacturer may find his increased by the same amount	1,000 francs
and the class of workers may find their total salaries augmented by	3,000 francs
total	5,000

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That year's consumption, consequently, will be 105 thousand francs rather than the 100 thousand to which they would have added up if the person with the large income has spent it all unproductively.[3] And what is even more, the same 20 thousand francs that increased that year's incomes by 5 thousand francs are reaccumulated and can yield the same service in all the years that follow for so long as one considers it appropriate to use them productively.

There are a thousand ways to invest savings. While the happy effects which we have just seen continue, the following year gives the same consumer the opportunity to carry out similar savings. He uses them for the construction of a steam engine, to irrigate a field; the effect on general wealth is the same: the yield of his lands is increased by a thousand francs, more or less, and the activity that is introduced into their cultivation yields an annual income to many workers.

Thus, many persons are in error when they imagine that the poor obtain resources only from the expenditures of the rich. The true resource of the poor man is his labour. To exercise his labour he has no need for the rich man's consumption; he needs only his capital. Similarly, a country or a district could be most fortunate if no rich men were to reside or consume there, so long as they were to invest their capital in it. The farmer would labour there for the manufacturer and the merchant, the merchant for the farmer and the manufacturer, and the latter for the other two. All would be well supplied with all the necessities of life. With frugality they could enrich themselves and they would also have the means to pay to the absentee capitalist the interest and the rents on the capital and the land which, so to speak, he would have lent to them.

I have insisted on carrying out this demonstration because the error it exposes is among those that are the most widespread. It is shared by those who advocate the mercantilist doctrine, and those who advocate the agriculturist doctrine, that is to say, the Physiocrats. They all consider consumption to be useful in relation to production, while it is in fact, useful only for the pleasure that it procures.[4] A consumer offers no advantages by *that which* he consumes, but by *that* which he provides as a replacement; now, he can give that much more in replacement as he undertakes less unrewarding consumption and more reproductive consumption. If an idle rich man who eats up an enormous income, does not ruin his country, at least he contributes nothing to its prosperity. A

[1] See Mercier de la Rivière, *Ordre essentiel des Sociétés polit*, Vol. 2, p. 138, and the other writings of the Physiocrats.

[2] A reviewer notes that the physiocratic concept of "consumption" was very different from Say's (or from ours) so that "Say's reading of his own definition into the physiocrat's words created a complete distortion of their doctrines." [W.B.]

[3] One may think there is double counting here, and that the profit of the entrepreneur and his employees merely are substitutes for those that would have been earned by the jeweller and the chef on the assumption of unproductive consumption. But there is really no double counting. The profits of the jeweller, the chef and all the suppliers of unproductive consumption are replaced by the suppliers of productive consumption. These suppliers have sold to the manufacturer or his workers 20 thousand francs in goods, in place of the same quantity of goods that would have been sold to the rich consumer. Besides, there have been 5 thousand francs in income by which the year's consumption can have risen. That is to say, with 20 thousand francs and labour, 25 thousand francs in handkerchiefs have been produced. One should not be astonished that I evaluate the gross product of a manufacturer at 25 per cent of his capital; the net product itself often reaches this proportion.

[4] I knew a young man who threw crystal flasks out of the window as soon as he had emptied them. *This is necessary, he said, to encourage workshops.* In this way, he diminished total social wealth, precisely by the amount the artisan had increased it in producing the flask. He should have given it to a household too poor to be able to procure one. In this way he would have provided its inhabitants one of the pleasures of wealth, and manufacture would have been given an advantage comparable to that which it would have received from an increase in general opulence.

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> wealthy man who does not expend his entire income does contribute to it; a wealthy man who increases his capital and, moreover, occupies himself usefully, contributes to it still more.
>
> If there is any one habit that merits encouragement, in monarchies and republics alike, in large and small countries alike, it is saving. But does it need encouragement? Is it not enough to avoid honouring dissipation? Is it not enough to respect all savings and all of their uses, that is to say, the growth of all economic activity that is not criminal? For I am not speaking here of the vague and inadequate protection that is sometimes referred to as *respect for property*. It is not enough merely to protect individuals from being stripped by arbitrary acts, by injustice, by fraud and violence; it is also necessary to guarantee them from attack by chicanery, from increases in taxes even if freely consented to, because though a contribution may well be voted freely, it becomes obligatory the moment it is made into a requirement. Then, man's desire to accumulate goods, to prepare his resources for the future, will suffice to balance off his love of present enjoyment, and to provide for the general prosperity that is made up of the prosperity of individuals. [Say, 1803, Vol. II, Book 5, pp. 358–368]

While in this first edition of the *Traité* the issue of superiority of investment over consumption as a stimulus to growth is not referred to directly in the chapter on *débouchés*, it is explicitly incorporated into this chapter in later editions (see, e.g., p. 139 of the English translation of the third edition). To Mill, too, this is a central point: "The greatness of the produce of a country in any year, is altogether dependent upon the greatness of the quantity of the produce of the former year, which is set apart for the business of reproduction. The annual produce is therefore the greater, the less the portion is which is allotted for consumption". (Mill, 1807, p. 71).

Mill quotes approvingly Say's tale of the young man who threw crystal vases out of the window in order to encourage manufactures. He also points out that

> ... it is the maintenance of great fleets and armies, which is always the most formidable weight in the scale of consumption, and which has the most fatal tendency to turn the balance against reproduction and prosperity. It is by the lamentable contrivance of wars, almost always nourished by puerile prejudiced and blind passions, that the affairs of prosperous nations are first brought to the stationary condition, and from this plunged into the retrograde. [Mill, 1807, p. 74]

(This passage also reminds us of the circumstances in which Mill was writing. He was here involved in a debate on foreign trade, the hegemony of agriculture, war expenditure and under-consumption—issues arising out of Napoleon's attempted blockade of the British Isles.)

V. In the Very Long Run Demand Will Catch Up with Supply

Like all classical economists, Say was very much interested in the longer run. From the first edition on, Say never ceased to emphasize, as an empirical observation:

Say's Fourth Proposition. Over the centuries the community will always find demands for increased outputs, even for increases that are enormous.

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In other words, there was in his opinion no basis for fear of secular stagnation. This view he based on the argument that production provides *the purchasing power* with which output can be acquired. Thus, from the first edition on, he recalled to the reader how much the output of his country had risen since the humiliating days of Henry V, and the end of the Hundred Years' War. He points out that the total income accruing to factors of production expands equally with the total output of the community. "Otherwise, by what means could one purchase nowadays in France at least to two or three times the quantity of things that were purchased in the miserable and unfortunate reign of Charles VI?" (Say, 1803, Vol. II, p. 180.) A translation of the full selection from which this quotation is taken is provided later in this paper. Charles VI (1368–1422) was the mentally unstable king of France who was forced by the English to adopt Henry V as his heir, disinheriting his son, later Charles VII (Jeanne d'Arc's Dauphin), and to give Henry his daughter, Catherine, in marriage.) Subsequent developments seem generally to have supported Say on this score. Real *per capita* GNP has no doubt risen at least tenfold since Say wrote, when the Industrial Revolution was only in its beginnings. Demand certainly seems to have risen comparably.

Now, it must be admitted that Say seems never to have devoted much space to a discussion of the very long-run correspondence of demand with supply, and I have not found any place where Mill dealt with it at all. Yet it seems to me to be implicit in their emphasis on production as the source of *growth* in the wealth of a nation. The fact that in his second edition Say moved his remark on Charles VI into the body of the chapter on *débouchés* and that he kept it there in the subsequent editions attests to the value he placed on the observation that demand in the long run is capable of keeping up with the most enormous increases in output.

Note that this proposition, which is clearly of some considerable importance for the analysis of economic development, is virtually irrelevant for stabilization policy. Say's observation that in the long run demand keeps up with rises in production is perfectly consistent with the existence of protracted periods of substantial unemployment. There is nothing in the principle that is inconsistent with a "general glut" whose possibility is denied by Say's identity. Note in this connection, Sowell's (1974, pp. 64ff) contention (against Patinkin and Blaug) that even Malthus' position in the glut controversy did *not* include a secular stagnation argument.

VI. Money No More than a Means to Facilitate Exchange

We come now to the first of the propositions that relate closely to "Say's Law". This is the emphasis that both Say and Mill place on the *un*importance of money as a contributor to effective demand. Say stresses the conclusion that money is no more than a conduit for, or a lubricant of, the exchange process but itself ultimately contributes nothing to effective demand. (Mill deals with the role of money only obliquely. He does say that his propositions are seen most clearly by considering "... the circumstances of a country in which all exchange should be in the way of barter, as the idea of money frequently tends to perplex" (p. 82). He also makes much of

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Spence's observation, "Let it not be urged that what they might save would not be hoarded (for misers now-a-days are wiser than to keep their money in strong boxes at home) but would be lent on interest", emphasizing that these loans will finance effective demand in the form of reproductive consumption (p. 75).) We have already seen that two of the seven paragraphs that constitute the first edition chapter on *débouchés* are devoted to a description of the unimportance of money. Say makes this point by likening the role of money to that of advertising and stressing that producers generally add negligibly to their stock of money over the course of a year. Thus we may describe:

Say's Sixth Proposition. Production of goods rather than the supply of money is the primary determinant of demand. Money facilitates commerce but does not determine the amounts of goods that are exchanged.

This assertion gets closer to implying Say's identity than anything we have discussed up to this point. If in fact he had said that no one wants money for its own sake and that any cash accumulations will always and immediately be respent, Say's identity would indeed have been implied. However, to Say of the first edition, the irrelevance of money would seem to arise in quite another way—it is unimportant not because only goods are demanded, but because it is a poor means for the stimulation of demand. We are back at the Keynesian point that effective demand is a rising function of *real* output, and that money merely facilitates the working of that relationship. If that is what Say had in mind (and on this we can only guess from his inconclusive wording), then even his monetary discussion is still only distantly related to "Say's Law".

VII. General v. Particular Gluts

So far as I have been able to judge, Say in his first edition and Mill in *Commerce Defended* make only one point that is really related directly to either the equality or identity form of Say's Law. This is an assertion which we may characterize as:

Say's Seventh Proposition. Any glut in the market for a good must involve relative underproduction of some other commodity, or commodities, and the mobility of capital out of the area with excess supply and into industries whose products are insufficient to meet demand will tend rapidly to eliminate the overproduction.

Certainly this argument suggests strongly that both authors believed in some form of Say's Law. However, this argument would appear to be a conclusion one draws from the Law rather than a bit of logic that argues its validity. It is a corollary rather than an underpinning of the Law.

Mill makes the point with characteristic force:

> It may be necessary, however, to remark, that a nation may easily have more than enough of any one commodity, though she can never have more than enough commodities in general. The quantity of any one commodity may easily be carried beyond its due proportion; but by that very circumstance is implied that some other commodity is not provided in sufficient proportion. What indeed is meant by a commodity's exceeding the market? Is it not that there is a portion

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of it for which there is nothing that can be had in exchange. But of those other things then the proportion is too small. A part of the means of production which has been applied to the preparation of this superabundant commodity, should have been applied to the preparation of those other commodities till the balance between them had been established. Whenever this balance is properly preserved, there can be no superfluity of commodities, none for which a market will not be ready. This balance too the natural order of things has so powerful a tendency to produce, that it will always be very exactly preserved where the injudicious tampering of government does not prevent, or those disorders in the intercourse of the world, produced by the wars into which the inoffending part of mankind are plunged, by the folly much more frequently than by the wisdom of their rulers. [Mill, 1807, pp. 84–85]

Note that in this passage Mill not only emphasizes the possibility of a partial glut but also asserts explicitly the impossibility of an excess "of commodities in general". In other words, Mill does assert his adherence to Say's Law. Yet it seems to me that nowhere here or in Say's first edition does either author try to spell out the logical foundation for any variant of Say's Law. To make this point I shall now present a last passage from the *Traité*. This one is perhaps particularly significant because both Spengler (1945) and Sowell (1972) cite it as the passage containing the heart of Say's first discussion of the subject.

Chapter 5. *In What Proportions the Value of Products is Distributed Among the Three Factors of Production*

The magnitude of the demand for factors of production in general does not depend on *the magnitude of consumption* as all too many persons have imagined. Consumption is not at all a cause, it is an effect. In order to consume it is necessary to purchase; now, one can make purchases only with what one has produced. Is the quantity of outputs demanded consequently determined by the quantity of products created? Without any doubt. Everyone can, at his pleasure, consume what he has produced; or else he can buy another product with his own. The demand for products in general is therefore always equal to the sum of the products available.[1] A nation that produced annually no more than a value of two billion, would be able neither to purchase nor to consume three billion during the same period of time without drawing the billion deficit from its capitals every year. We see that the best way to provide markets for outputs is to produce more, not to destroy them. If this conclusion is obvious, as I believe it to be, what are we to think of the systems that encourage consumption in order to stimulate production?

It is not true that total output cannot exceed total consumption. Can one not accumulate a portion of the products created each year? Cannot everyone accumulate either some of his own products or some of those he acquires by exchange? Is not a market provided by this accumulation just as effectively as if that same value had been consumed?[2] Total output is consequently not limited by the magnitude of consumption. Limitation of consumption does not close off markets; rather the fostering of production will open new ones. A nation that enriches itself enjoys an advantage comparable to that acquired by one that extends its foreign commerce. It experiences the opening of new markets and the appearance of new customers. It extends its commerce, and does not wage wars to achieve this.

If production is not bounded by the magnitude of consumption,[3] if one can produce more than is consumed, what then are the bounds to production? They consist of the availability of the factors of production.

But, it may be said, *if there are goods that cannot be sold, there are necessarily more productive factors employed than there are opportunities for the consumption of their outputs.* Not at all. No glut ever occurs except when too large a quantity

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of factors of production is devoted to one type of production and not enough to another. In effect, what is the cause for the inability to carry out a sale? It is the difficulty of obtaining some other good (either an output or money) in exchange for the one that is offered. Means of production are consequently lacking for the former to the extent that they are superabundant for the latter. A region deep in the interior of a land finds no sale for its wheat, but if some factory is established there and part of the capital and the labour that formerly was devoted to the land is redirected to another type of production, the products of the one and the other can be exchanged without difficulty, even though these outputs have expanded rather than diminished. Inability to sell, therefore, arises not from overabundance but from the misallocation of the factors of production.

In the notes that Garnier has included in his excellent translation of Smith he states that in old nations like those of Europe, in which capital has been accumulated over several centuries, overabundance of the annual product would *obstruct trade, if it were not absorbed by proportionate amounts of consumption.* I realize that trade can be obstructed by the overabundance of particular products. It is an evil that can never be anything but temporary, for participation in the production of goods whose outputs exceed the need for them and whose value is debased will rapidly cease and it will instead be devoted to the production of the goods that are sought after. But I cannot conceive that the products of the labour of an entire nation can ever be overabundant since one good provides the means to purchase the other. The sum of its outputs composes the total wealth of a nation, and wealth is no more of an embarrassment to nations than it is to individuals.

This point having been thoroughly cleared up, it provides us an answer to the question with which we are concerned and which I repeat: *upon what elements does the demand for factors of production in general depend*? It depends on the volume of production, and since the volume of production depends on the quantity of factors of production, the demand for factors of production expands proportionately to the quantity of means of production themselves. That is to say, as a result, a nation always has the means to purchase everything it produces. Otherwise, by what means could one purchase nowadays in France at least to two or three times the quantity of things that were purchased in the miserable and unfortunate reign of Charles VI? [Say, 1803, Vol. II, Book 4, pp. 175–180]

This passage clearly summarizes all of the seven propositions we have listed so far. In particular it states emphatically that "... trade can be obstructed by the overabundance of particular products ... goods whose outputs exceed the need for them.... But ... the products of the labour of an entire nation can never be overabundant because one good provides the means to purchase the other".

VIII. Incompleteness of the Statement of the Law

What then, if anything, is lacking in this passage to qualify it as an explicit statement of Say's Law? The Law is surely enunciated in the latter

[1] A product consumed by its maker is a product that has been supplied and demanded by the same person. It constitutes part of the total supply of goods and of the total demand for them.

[2] Moreover, we will see later that the portion saved out of income and added to capitals is just as surely consumed every year, but in another manner; that is to say, in a reproductive manner.

[3] Here our subject is only unproductive consumption, not the use of capital for its reproduction with profit.

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part of Mill's assertion "That a nation may easily have more than enough of any one commodity, *though she can never have more than enough of commodities in general*" (Mill, 1807, p. 84, my italics); and the same is obviously true of Say when he tells us that "The products of the labor of an entire nation can never be overabundant".

Thus the proclamation of Say's Law is found in both writings. As I have already suggested, all that is missing is its rationale. Thus, note that Say completes the preceding quotation by telling us that he "... cannot conceive that the products of the labor of an entire nation can ever be overabundant since one good provides the *means* to purchase the other" (my italics). In other words, the community can *afford to* purchase the goods *if it wishes to do so.* We are back at what we have labelled Say's first proposition, which asserts that production creates the *power* to purchase itself.

But this sidesteps the basic issue in the entire subsequent controversy over Say's Law. The issue is not whether the purchasing power needed to buy a nation's output is available, but whether it will in fact be used.

Mill treats the issue virtually as a tautology and, hence, as one whose logic requires no discussion: "What indeed is meant by a commodity's exceeding the market? Is it not that there is a portion of it for which there is nothing that can be had in exchange? But of those other things then the proportion is too small". (Mill, 1807, p. 85). In other words, every excess supply is, by definition, an excess demand for something else. But what is that something else? Must it necessarily be a commodity?

IX. Say's Second Edition: The Missing Ingredient Supplied

There are, it seems to me, two missing ingredients to the Say's Law discussion on the preceding paragraphs. For they fail to discuss the nature of the demand generated by the holders of the community's purchasing power, and they do not deal with the timing of that demand.

Other discussions both afterwards *and before* treated both these matters very explicitly. They asserted that people will always use their purchasing power to seek either consumers' or producers' goods in exchange; that is, they will demand goods rather than cash balances, because to do otherwise would be irrational. Moreover, it was (sometimes but not always) stated that this demand must accompany the acquisition of purchasive power through production *virtually without* delay. These statements clearly add up to Say's identity, with supply automatically and immediately creating an equivalent demand, or to a strong form of the equality, with fast acting and powerful equilibrating forces that either usually or always channel demands into commodities.

It is curious that Adam Smith had already discussed both these matters nearly thirty years before Say. (On the other side of the matter, Tucker (1960, pp. 92–99) points out that Ricardo was induced to emphasize his Say's Law discussion by his opposition to Smith's view that accumulation tends to *reduce* the rate of profit through a growing abundance of capital-seeking employment.) Concerned to support the idea that saving does not reduce the demand, he deals with the issues we have just raised in two

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well-known passages. The first examines the motivation of demand:

> In all countries where there is tolerable security, every man of common understanding will endeavour to employ whatever stock he can command, in procuring either present enjoyment or future profit. . . . A man must be perfectly crazy who, where there is tolerable security, does not employ all the stock which he commands, whether it be his own or borrowed of other people, in some one or other of those . . . ways. [Smith, 1776, p. 268]

In the second passage he considers the timing of these expenditures:

> That portion of his revenue which a rich man annually spends, is in most cases consumed by idle guests, and menial servants, who leave nothing behind them in return for their consumption. That portion which he annually saves, as for the sake of profit it is *immediately* employed as a capital, is consumed in the same manner, *and nearly in the same time too*, but by a different set of people. [Smith, 1776, p. 321, my italics]

In other words, as has been pointed out before, Smith all but enunciated Say's Law and certainly spelled out its logic more completely than either Say or Mill in their first writings on the subject. The only lacunae in Smith's discussion are his stipulation that a state of "tolerable security" must prevail for (*ex ante*) investment always to equal saving (would he have considered a period of bad business prospects or great uncertainty to involve intolerable security?) and his failure to state explicitly the conclusion that total supply must, consequently, always be equal to the demand.

Say only gets around to these matters in his second edition where he tells us in his revised and expanded chapter on *débouchés* that:

> . . . It is worthwhile to remark, that a product is no sooner *created* than it *from that instant* offers a market for other products to the full extent of its own value. For every product is created only to be consumed, whether productively or unproductively, and indeed to be consumed as quickly as possibly, since every value whose realization is delayed causes a loss to the individual who is currently its possessor of the interest earning corresponding to that delay. . . . A product is therefore, so far as everyone can arrange, destined to the most rapid consumption. From the moment it exists, it consequently seeks another product with which it can be exchanged. Gold and silver are no exception since no sooner has the merchant made a sale than he seeks to employ the product of his sale. [Say, 1814, pp. 147–148, his italics. A somewhat modified version of this passage is found in later editions. See, e.g., the 1821 English translation of the fourth edition, pp. 134–135. The translation here follows that one so far as possible.]

From the second edition on Say also deals far more directly with the role of money and its irrelevance as a determinant of demand. For example, in the English translation of the fourth edition of the *Traité* we are told

> Should a tradesman say, "I do not want other products for my woollens, I want money", . . . You say, you only want money; I say, you want other commodities, and not money. For what, in point of fact, do you want the money? Is it not for the purchase of raw materials or stock for your trade, or victuals for your support? . . . Thus, to say that sales are dull, owing to the scarcity of money is to mistake the means for the cause. . . .
>
> There is always money enough to conduct the circulation and mutual interchange of other values, when those values really exist. Should the increase of traffic require more money to facilitate it, the want is easily supplied. . . . In such cases, merchants know well enough how to find substitutes for the product

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> serving as the medium of exchange or money:[1] and money itself soon pours in, for this reason, that all produce naturally gravitates to that place where it is most in demand.... [Say, 1821, pp. 133–134]

What is noteworthy in this comment is Say's implicit adherance in this passage to an equality rather than an identity form of the law. He admits that an excess demand for money can arise, but he tells us that it will only be temporary. If it is only local, supplies of money will soon flow in from elsewhere. And, in any event, the excess supply will be eliminated not by anything like the cash balance effect which trims demands down to the available (nominal) supply of cash, but by an increase in the supply of cash or substitutes for cash.

Thus the eighth (and for our purposes the last) of Say's eight propositions is Say's Law itself. Apparently this takes the form of a type of Say's equality, i.e., supply and demand are always equated by a rapid and powerful equilibration mechanism. However, we should be careful not to attribute to him thoughts on what he would have considered fine distinctions, such as that between the equality and the identity forms of the law. For very likely the subject was never explicitly considered by him.

Of course, one can go on indefinitely, listing observations that Say considered pertinent to his subject. My choice is consequently and unavoidably rather arbitrary. Note that I have not listed the rather curious tautological version of Say's Law that Say enunciated in his correspondence with Malthus. In a letter dated Paris, July 1827, Say wrote:...

> Our discussion on *débouchés* begins to be no more than a dispute on words. You wish me to accord the name products to goods that can satisfy a certain number of wants and which possess a certain value, even though that value is insufficient to repay the totality of their production costs. But the logic of my doctrine on production establishes clearly that there is no complete production unless all the inputs necessary for that piece of work are repayed by the value of the product ... everything that is truly produced that cannot be sold is an outlay made thoughtlessly and without producing anything; and my doctrine on *débouchés* remains intact. [*Cours Complet d'Économie Politique Pratique*, Brussels 1844, p. 649. See also Malthus's comment on p. 647.]

X. Concluding Comment

Several conclusions emerge from this discussion of Say's and Mill's discussion of Say's Law. First, on the relatively unimportant issue of priority matters are hazy, and the answer must depend on our definition of the Law itself. Obviously, it is at least hinted at from the first edition of the *Traité* onward. My own conclusion is that Spengler (1945), Winch (1966) and Sowell (1972) are right in awarding priority to Say. But they are right for the wrong reason. To me, the first statement of the Law as we understand it today appears complete with its logical underpinnings *neither* in the first edition of the *Traité* nor in *Commerce Defended* but in the second edition of Say's work. On that interpretation, Say's Law can be said to have achieved its first full codification in 1814, even though, as is always the case in the

[1] By bills at sight, or after date, bank-notes, running-credits, write-offs, & c. at London and Amsterdam.

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history of ideas, any one who seeks to pinpoint its first origins must do so at his peril.

However, the major conclusion that emerges from our re-examination of Say's and Mill's texts is that the Say's Law discussion was, first and foremost, an examination of the influences that promote long-term economic growth, and not primarily a matter of short-term problems of unemployment and overproduction. The major emphasis of Say's and Mill's arguments was that investment (productive consumption), rather than consumption of luxuries, pyramid building or military expenditure (unproductive consumption), are the effective means to promote growth.

There is also a second observation, going beyond our textual examination, which also seems worth making. We tend to think today of the Malthusian side of the argument as Keynesian in spirit and consequently "progressive", while the Say–Mill–Ricardian position is interpreted to be the opposite. But viewed in terms of the circumstances of the early nineteenth century, when the debate was underway, this is the reverse of the truth. Malthus was the open defender of the role of the landed proprietors as against the rising capitalist class. (Marx characterizes those writings which "... regard *consumption* as a necessary spur to production" as "apologetics ... partly for the rich idlers and the 'unproductive labourers' whose *services* they consume, partly for 'strong governments' whose expenditure is heavy, for the increase of State debts, for holders of sinecures, etc". (1963, p. 281). It was on their behalf that he defended protective tariffs and it was their consumption of luxury goods and their employment of personal retainers that he was defending when he argued that they were necessary for the prevention of over-production. On the other hand, Say, Mill and Ricardo sought, against this position, to encourage the new industrial activity and, with it, the expansion of the output of the economy (See Blaug, 1958, pp. 94–97). It is always dangerous to interpret the political colour of earlier works in terms of the state of affairs of the reader's own era.

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